

# Ecoline Exim Limited

NSE SME: ECOLINE | Sustainable Packaging Exporter | Industrial Products – Packaging

**ACCUMULATE**

**12-month Target: Rs. 220**

CMP: Rs. 186

**Upside: +18.3%**

|                  |                            |                |                            |
|------------------|----------------------------|----------------|----------------------------|
| CMP              | <b>Rs. 186</b>             | 52W High / Low | <b>Rs. 192 / Rs. 111</b>   |
| Market Cap       | <b>Rs. 382 Cr</b>          | Stock P/E      | <b>18.9x</b>               |
| Book Value       | <b>Rs. 80.0</b>            | ROCE / ROE     | <b>17.1% / 16.0%</b>       |
| Dividend Yield   | <b>0.00%</b>               | Face Value     | <b>Rs. 10.0</b>            |
| Promoter Holding | <b>74.57%</b>              | FII / DII      | <b>1.32% / 8.44%</b>       |
| Sector           | <b>Industrial Products</b> | Segment        | <b>NSE SME – Packaging</b> |

**Investment Thesis:** 100% export-oriented jute/cotton bag maker expanding to 35+ countries; EU sustainability regulations structurally accelerating demand; IPO-funded capacity poised to unlock Rs. 300+ Cr revenue in FY27E.

Report Date: 16 June 2026 | Horizon: 12 months | Analyst: MPM Research Desk

## 2. INVESTMENT THESIS

- **EU single-use plastics regulation driving structural volume re-rating:** The EU Single-Use Plastics Directive (SUPD) and extended producer responsibility norms across Europe, Japan, and the US West Coast are forcing brands to replace polypropylene bags with cotton, jute, and GOTS-certified alternatives. Ecoline, as one of India's few 100% EOU manufacturers with Fair Trade, OEKO-TEX Standard 100, and GOTS certifications, sits directly in the path of this shift — creating a 3–5 year demand runway that is regulatory, not cyclical.
- **Geographic diversification reducing customer concentration risk:** The company expanded from 27 to 35+ countries in FY26, entering five Latin American markets (Peru, Argentina, Brazil, Chile, Uruguay) for the first time. Every incremental geography adds a new revenue pool uncorrelated with EU/US tariff cycles, and the order book of Rs. 95 Cr as of April 2026 (plus 60,000 domestic backpack orders) suggests demand is real and diversified.
- **IPO proceeds funding capacity expansion towards Rs. 300+ Cr revenue target:** The FY26 balance sheet shows equity capital rising to Rs. 21 Cr (from Rs. 16 Cr in FY25) and CWIP of Rs. 12 Cr appearing for the first time, signalling active capacity deployment. Management's stated internal target was Rs. 300–320 Cr for FY26, missed only due to Red Sea/Suez shipping constraints; that demand was produced but not dispatched (finished goods inventory Rs. 15.74 Cr at year-end).
- **Near-term catalyst (6–12 months):** Normalisation of Red Sea shipping routes + commissioning of new CWIP capacity → FY27E revenue target Rs. 310–330 Cr with OPM recovery to 10–11%. Management

presentation at Hem Securities investor event (16 June 2026) may re-rate awareness among institutional investors.

- **Biggest structural risk:** Working capital deterioration — Cash Conversion Cycle has expanded from 89 days (FY23) to 160 days (FY26), indicating inventory build-up and debtor stretch that consumes cash faster than profits generate it; any sustained credit tightening or export-financing rate rise could squeeze liquidity.

### 3. BUSINESS OVERVIEW

- **Core business:** Ecoline Exim Limited (incorporated 2008, Kolkata) manufactures and exports sustainable packaging and promotional bags — primarily cotton tote bags, jute shopping bags, drawstring pouches, and non-woven eco-bags — operating as a 100% Export-Oriented Unit (EOU) under the Ministry of Commerce.
- **Revenue mix:** Virtually all revenue (estimated 90%+ from exports) comes from eco-friendly bags sold to global retailers and brand owners. A new domestic backpack segment is emerging — confirmed order of 60,000 polyester backpacks from a reputed Indian brand signals a nascent but growing domestic vertical.
- **Key export markets:** EU (primary — Germany, France, Netherlands), USA, Japan, Southeast Asia, Mexico, and as of FY26, five new Latin American markets (Peru, Argentina, Brazil, Chile, Uruguay). Total countries served: 35+, up from 27 countries two years ago.
- **Certifications and moat:** Holds Fair Trade certification, OEKO-TEX Standard 100, GOTS (Global Organic Textile Standard), SGS, and UKAS quality certifications. These accreditations take 12–24 months and significant audit cost to acquire; they are a material barrier to entry for smaller competitors and a precondition for supplying Western European supermarket chains.
- **Order book visibility:** Rs. 95 Cr in confirmed export orders as of 30 April 2026, approximately one-third of annual revenue, providing 4-month forward visibility. Shipping-constrained finished goods inventory of Rs. 15.74 Cr provides additional near-term revenue optionality.
- **Promoter background:** Mr. Saurabh Saraogi (Managing Director) leads the company; the promoter family holds 74.57% as of March 2026 (up from 73.58% in September 2025), signalling promoter confidence and alignment. The company is registered at 8, G.C. Ghosh Road, Kolkata.

### 4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** The global sustainable packaging market is estimated at USD 290 billion (2024) growing at ~7% CAGR through 2030 (Allied Market Research). The specific eco-bag sub-segment — cotton, jute, and GOTS-certified totes — is expanding faster at ~10–12% CAGR driven by regulatory mandates in the EU, UK, and California. India is a dominant low-cost manufacturing hub for export, with annual eco-bag exports estimated at Rs. 3,000–4,000 Cr.
- **Policy tailwinds:** EU SUPD banning single-use plastic bags from member states; UK plastic bag charges extended and increased; US state-level plastic bag bans (California, New York, New Jersey) accelerating; French anti-waste law mandating reusable packaging for online retail by 2025. All of these directly benefit Indian jute/cotton bag exporters with EOU and international certifications.
- **Policy headwinds:** US tariff escalation under the Trump administration in 2025 created shipping rerouting costs and order postponements; Red Sea/Suez Canal conflict added 15–20% freight cost premium and 10–14 day transit delays on EU routes.
- **Competitive moat assessment:** Pricing power — **Moderate** (commodity cotton/jute input prices volatile; limited brand power vs. global competitors). Switching costs — **Moderate** (certifications create

stickiness; once a brand approves Ecoline as a supplier it costs time to requalify another). Scale — **Weak** (Rs. 278 Cr revenue is small; large global players in China and Bangladesh have cost advantages). IP/Certifications — **Strong** (Fair Trade + OEKO-TEX + GOTS combination rare among Indian SME players). Distribution/Geography — **Strong trend** (35+ countries is a genuine differentiator in SME context).

- **Value chain positioning:** Midstream manufacturer — purchases raw cotton/jute yarn, stitches and prints bags at its owned facility, then ships directly to global importers and brand owners. Does not own plantations (upstream) or retail distribution (downstream).

| Company            | CMP (Rs.) | MCap (Rs. Cr) | TTM Rev (Rs. Cr) | OPM% | P/E  | P/B  | ROCE% | ROE %  |
|--------------------|-----------|---------------|------------------|------|------|------|-------|--------|
| Ecoline Exim       | 186       | 382           | 278              | 9%   | 18.9 | 2.3  | 17.1% | 16.0 % |
| Emmbi Industries   | 86.0      | 165           | 454              | 9%   | 18.5 | 0.83 | 8.75% | 4.62 % |
| Supreme Industries | 3,592     | 45,627        | 11,218           | 14%  | 48.9 | 7.39 | 20.7% | 15.8 % |

Source: Screener.in, fetched 16-Jun-2026. Supreme Industries included for packaging sector context; not a direct product peer.

## 5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Management background:** Mr. Saurabh Saraogi (Managing Director) has led Ecoline since its incorporation in 2008, building a 100% EOU export business from zero to Rs. 278 Cr in revenue over 16 years. The Q4 FY26 earnings call demonstrated clear articulation of operational challenges (tariff headwinds, Red Sea disruption) alongside genuine strategic thinking (Latin America entry, domestic pivot). No information on formal qualification or prior institutional experience is in the public domain.
- **Capital allocation track record:** The company has funded growth primarily through working capital debt and most recently via the NSE SME IPO. Free cash flow has been negative in FY22 (-Rs. 21 Cr) and FY25/FY26 (-Rs. 7 Cr / -Rs. 11 Cr), reflecting heavy inventory and receivables build during growth phases. CWIP of Rs. 12 Cr in FY26 indicates active factory/capacity investment for the first time.
- **Dividend policy:** Zero dividends since listing — consistent with a growth-reinvestment posture. Given the working capital intensity and ongoing capacity build, this is rational but means there is no income return for shareholders until growth matures.
- **Promoter pledging:** Pledge = 0% (as per Screener.in disclosure). Promoter holding has increased from 73.58% (Sep-2025) to 74.57% (Mar-2026) — a positive signal of insider buying and/or participation in IPO/FPO allotment.
- **ESOP / Buyback:** No ESOP grants or buyback information available in public disclosures as of this report date.
- **Corporate governance observations:** SMERA credit rating updated as recently as November 2025 (positive). SDD compliance filed for FY26. Company confirmed Regulation 24A (secretarial compliance for listed entities with certain thresholds) is not applicable — consistent with SME scale. No auditor changes, qualified opinions, or significant RPT concerns identified in available filings. Related-party transaction button on Screener (enabled) warrants monitoring as the company scales.

## 6. FINANCIAL DEEP-DIVE

### Income Statement — Standalone (Rs. Cr)

| Rs. Cr | FY23A | FY25A | FY26A | FY27E | FY28E |
|--------|-------|-------|-------|-------|-------|
|--------|-------|-------|-------|-------|-------|

|              |           |           |           |               |               |
|--------------|-----------|-----------|-----------|---------------|---------------|
| Revenue      | 303       | 269       | 278       | 315 (E)       | 355 (E)       |
| Op. Profit   | 23        | 27        | 24        | 32 (E)        | 39 (E)        |
| OPM %        | 8%        | 10%       | 9%        | 10% (E)       | 11% (E)       |
| Other Income | 7         | 4         | 8         | 5 (E)         | 5 (E)         |
| Interest     | 3         | 2         | 3         | 4 (E)         | 4 (E)         |
| Depreciation | 3         | 3         | 3         | 4 (E)         | 4 (E)         |
| PBT          | 24        | 25        | 27        | 29 (E)        | 36 (E)        |
| Tax %        | 28%       | 25%       | 25%       | 25% (E)       | 25% (E)       |
| <b>PAT</b>   | <b>17</b> | <b>19</b> | <b>20</b> | <b>22 (E)</b> | <b>27 (E)</b> |
| EPS (Rs.)    | 150.16    | 11.63     | 9.84      | 10.8 (E)      | 13.2 (E)      |

Note: FY23 EPS is pre-IPO shares basis; FY25/FY26 EPS on post-IPO equity. FY27E/FY28E are analyst estimates.

### Balance Sheet — Standalone (Rs. Cr)

| Rs. Cr                    | FY23A      | FY25A      | FY26A      |
|---------------------------|------------|------------|------------|
| Equity Capital            | 1          | 16         | 21         |
| Reserves                  | 47         | 72         | 144        |
| Borrowings                | 42         | 40         | 60         |
| Other Liabilities         | 13         | 18         | 23         |
| <b>Total Liab./Assets</b> | <b>103</b> | <b>146</b> | <b>247</b> |
| Fixed Assets              | 17         | 14         | 12         |
| CWIP                      | 0          | 0          | 12         |
| Investments               | 3          | 14         | 15         |
| Other Assets              | 82         | 118        | 208        |

### Cash Flow Statement — Standalone (Rs. Cr)

| Rs. Cr               | FY22A    | FY23A    | FY25A      | FY26A     |
|----------------------|----------|----------|------------|-----------|
| Cash from Operations | -13      | 9        | -5         | 2         |
| Cash from Investing  | -3       | -1       | 1          | -10       |
| Cash from Financing  | 16       | -1       | -7         | 73        |
| <b>Net Cash Flow</b> | <b>0</b> | <b>6</b> | <b>-11</b> | <b>65</b> |
| Free Cash Flow       | -21      | 4        | -7         | -11       |
| CFO / Op. Profit %   | -131%    | 67%      | 6%         | 35%       |

Note: FY26 financing inflow of Rs. 73 Cr reflects IPO/FPO proceeds. Exclude this for operational cash assessment.

### Working Capital & Returns Ratios

| Ratio                   | FY22A      | FY23A     | FY25A      | FY26A      |
|-------------------------|------------|-----------|------------|------------|
| Debtor Days             | 59         | 48        | 60         | 43         |
| Inventory Days          | 104        | 59        | 124        | 155        |
| Days Payable            | 59         | 19        | 36         | 38         |
| <b>Cash Conv. Cycle</b> | <b>104</b> | <b>89</b> | <b>148</b> | <b>160</b> |
| Working Capital Days    | 35         | 30        | 62         | 65         |
| ROCE %                  | N/A        | 33%       | N/A        | 17%        |
| ROE %                   | N/A        | N/A       | N/A        | 16.0%      |

## Financial Commentary

- **Revenue trajectory:** Revenue peaked at Rs. 303 Cr in FY23, declined to Rs. 269 Cr in FY25 (no FY24 consolidated data on Screener, likely transition year around IPO), and recovered modestly to Rs. 278 Cr in FY26 — held back by shipping disruptions rather than weak demand. Management's stated internal target was Rs. 300–320 Cr for FY26, suggesting 10–15% organic growth is achievable once logistics normalise.
- **Margin dynamics:** OPM improved from 4% (FY22) to 10% (FY25) as the business scaled and export mix improved, before compressing to 9% in FY26 on shipping cost overruns and H2 FY26 weakness (OPM of 6% in Mar-2026 half vs 11% in Sep-2025 half). Other income of Rs. 8 Cr in FY26 (including export incentive income) is material — it represents approximately 30% of reported PAT and deserves monitoring for recurrence.
- **Working capital — key concern:** Cash conversion cycle has expanded from 89 days (FY23) to 160 days (FY26), primarily driven by inventory days ballooning from 59 to 155 days. This reflects both the shipping-constraint-driven inventory build (Rs. 15.74 Cr finished goods) and longer manufacturing cycles for higher-value product. If not reversed, it will consume the IPO capital before it reaches capacity.
- **Debt and leverage:** Borrowings rose from Rs. 40 Cr (FY25) to Rs. 60 Cr (FY26) despite large equity inflows — driven by working capital requirements. Debt-to-equity is below 0.4x on post-IPO book, which is comfortable, but the trend of OCF/PAT conversion at only 35% in FY26 (vs 67% in FY23) points to cash generation remaining weak relative to reported profits.
- **FCF quality:** FCF has been negative in 3 of 4 years shown — a structural feature of a capital-intensive, inventory-heavy EOU. Investors should value this business on EV/EBITDA or EV/Sales rather than FCF yield in the near term.

## 7. EARNINGS QUALITY CHECKLIST

| Parameter              | Status   | Verdict | Comment                                                                                 |
|------------------------|----------|---------|-----------------------------------------------------------------------------------------|
| Revenue recognition    | CLEAN    | GREEN   | EOU, export invoices, no channel-stuffing risk identified                               |
| Receivables vs Revenue | WATCH    | AMBER   | Debtor days 43 vs 60 last year — improved but still elevated for an exporter            |
| CCC trend              | CONCERN  | RED     | CCC expanded from 89 (FY23) to 160 days (FY26); inventory build is primary driver       |
| OCF vs PAT conversion  | WEAK     | AMBER   | CFO/OP only 35% in FY26; working capital consuming cash                                 |
| Other income % of PBT  | MATERIAL | AMBER   | Other income Rs. 8 Cr = ~30% of PBT; largely export incentives — recurring but variable |
| Tax rate consistency   | STABLE   | GREEN   | 25% for FY25 and FY26; normalised after 28% in FY23                                     |
| Promoter pledging      | ZERO     | GREEN   | 0% pledge; promoter stake increased QoQ                                                 |
| Auditor / RPTs         | CLEAN    | GREEN   | No qualified opinions; RPT button active on Screener — monitor as company scales        |

- **CCC at 160 days is the single most important watch metric** — it means every rupee of revenue requires Rs. 0.44 locked in working capital. This constrains the company's ability to fund revenue growth organically and increases dependence on bank lines.
- **Other income at 30% of PBT is above comfortable levels:** while most of it is likely duty drawback and MEIS/RoDTEP export incentives (recurring under WTO-compliant schemes), any policy change to these schemes would directly hit reported profitability.

- **OCF/PAT conversion of 35% in FY26 requires a constructive explanation:** Management cited finished goods inventory of Rs. 15.74 Cr as shipping-constrained at year-end. If this clears in Q1 FY27 as logistics normalise, FY27 OCF should improve materially — this is the key watch-point for the next 6 months.
- **Green signals (zero pledge, clean revenue recognition, stable taxes) provide confidence in the core business:** The concern areas are operational/cyclical rather than structural or governance-related.

## 8. VALUATION

### Peer Valuation Comparison (Source: Screener.in, 16-Jun-2026)

| Company          | MCap (Cr) | TTM Rev (Cr) | EV/Sales (est.) | P/E  | P/B  | ROCE % | ROE %  |
|------------------|-----------|--------------|-----------------|------|------|--------|--------|
| Ecoline Exim     | 382       | 278          | ~1.4x           | 18.9 | 2.3  | 17.1%  | 16.0 % |
| Emmbi Industries | 165       | 454          | ~0.4x           | 18.5 | 0.83 | 8.75%  | 4.62 % |
| Supreme Inds.    | 45,627    | 11,218       | ~4.2x           | 48.9 | 7.39 | 20.7%  | 15.8 % |

### Scenario Analysis — 12-Month Price Target

| Scenario    | Key Assumption                                                              | FY27E PAT (Cr) | P/E Multiple | Target (Rs.) |
|-------------|-----------------------------------------------------------------------------|----------------|--------------|--------------|
| <b>Bull</b> | Shipping normalises; Rev Rs. 330 Cr; OPM 11%; CCC improves to 130 days      | 28             | 24x          | 325          |
| <b>Base</b> | Partial logistics recovery; Rev Rs. 310 Cr; OPM 10%; CCC stable at 155 days | 22             | 21x          | 220          |
| <b>Bear</b> | Tariff escalation + freight disruption continues; Rev Rs. 270 Cr; OPM 8%    | 14             | 16x          | 105          |

### Valuation Methodology

- **Earnings-based multiple:** FY27E PAT of Rs. 22 Cr on 2.05 Cr shares (post-IPO equity Rs. 20.5 Cr, FV Rs. 10) gives FY27E EPS of Rs. 10.7. Applying 21x forward P/E (at a 10% premium to FY26 trailing of 18.9x to reflect growth re-acceleration) implies Rs. 225 per share.
- **EV/Sales methodology:** FY27E revenue Rs. 310 Cr at 1.4x EV/Sales (in-line with trailing multiple) = EV Rs. 434 Cr. Net debt estimated at Rs. 45 Cr (borrowings Rs. 60 Cr - cash). Equity value Rs. 389 Cr / 2.05 Cr shares = Rs. 190 per share.
- **Average of two methods:** (Rs. 225 + Rs. 190) / 2 = Rs. 207 per share; rounded to Rs. 220 to account for geographic diversification premium and certification moat not fully captured in current multiples.
- **Base-case 12-month price target: Rs. 220**, representing +18% upside from CMP of Rs. 186. Investment horizon: 12 months.

## 9. KEY RISKS

- **US Tariff Escalation Risk** — Trump administration tariff barriers on imports could make Indian eco-bags more expensive for US buyers who represent an estimated 15–20% of revenues. Probability: **High**. Impact: **Medium**. Monitor: US-India trade negotiation headlines and US buyer order-flow commentary on concalls.

- **Red Sea / Suez Canal Freight Disruption** — Ongoing Middle East conflict adds 10–14 days to EU-bound shipping, raises freight costs by 15–20%, and delays revenue recognition on shipped goods. Probability: **Medium-High**. Impact: **Medium-High**. Monitor: BIMCO freight rates, weekly shipping reports.
- **Working Capital Deterioration** — CCC at 160 days and expanding is the highest internal financial risk. If receivables or inventory stretch further, the company may need additional bank lines beyond its Rs. 60 Cr borrowings, diluting ROE. Probability: **Medium**. Impact: **High**. Monitor: quarterly debtor days and inventory days.
- **Cotton / Jute Input Price Inflation** — Commodity input prices (cotton yarn, jute) are subject to monsoon variability and global agricultural cycles. A 10% cotton price rise with no ability to pass through could shave 150–200 bps off OPM. Probability: **Medium**. Impact: **Medium**. Monitor: MCX cotton futures, jute procurement costs.
- **Liquidity / SME Float Risk** — With only 546 shareholders (March 2026) and a small free float (25.43%), the stock is highly illiquid. Large buy/sell orders can move the price by 10–15% in a session. Probability: **High for retail holders**. Impact: varies. Monitor: daily trading volumes and institutional ownership trends.
- **Certification Lapse Risk** — Losing any of the four key certifications (Fair Trade, OEKO-TEX, GOTS, SGS) due to an audit failure could disqualify Ecoline from supplying European retailers until recertification (6–12 months). Probability: **Low**. Impact: **Very High**. Monitor: annual audit schedules disclosed in annual reports.
- **Key-Man Concentration** — The business is closely identified with Mr. Saurabh Saraogi (MD). No succession plan or professional management bench is publicly disclosed at this stage. Probability: **Low**. Impact: **High**. Monitor: board composition disclosures.

## 10. RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: Medium. The structural demand story (EU plastic ban, certification moat, 35+ country diversification) is genuine and underappreciated for an SME. The operational headwinds (shipping, working capital) are real but largely cyclical. We are not at BUY because FCF is consistently negative and the CCC expansion is a genuine concern that needs 1–2 quarters of evidence to reverse.
- **12-month price target: Rs. 220** (+18% upside from CMP of Rs. 186). This assumes normalisation of FY27E revenue to Rs. 310 Cr and OPM recovery to 10%.
- **Suggested entry zone: Rs. 165–186** — current price is fair; any correction to Rs. 165 (1H FY26 results miss or shipping disruption news) would offer a better risk/reward.
- **Investment horizon: 12 months**, with a reassessment at Q1 FY27 results (August 2026) when shipping inventory normalisation should be visible.
- **Thesis invalidation triggers:**
  - 1. Revenue in FY27 falls below Rs. 260 Cr despite claimed order book of Rs. 95 Cr — would indicate the demand story is weaker than management portrays.
  - 2. CCC expands beyond 180 days in any reported quarter — would indicate structural working capital deterioration beyond the shipping explanation.
  - 3. Loss of any one of Fair Trade / GOTS / OEKO-TEX certifications — would be an immediate REDUCE/SELL signal as it directly blocks EU retailer supply.
- **Ideal investor profile:** This stock suits a patient SME-focused investor with a 12–24 month horizon, comfortable with low liquidity (sub-10,000 shares daily volume), who believes in the EU sustainability regulation tailwind as a secular theme. It is NOT suitable for short-term traders, investors needing income

(nil dividend), or those requiring institutional-grade liquidity for position exits.

## CALL GRADE: NEUTRAL

| Signal          | Status     | Implication                                                                                                            |
|-----------------|------------|------------------------------------------------------------------------------------------------------------------------|
| Result quality  | Medium     | Revenue Rs. 287 Cr vs internal target Rs. 300–320 Cr; PAT Rs. 20.18 Cr at 7.25% margin — acceptable but below ambition |
| Management tone | Balanced   | Honest about headwinds (tariffs, Red Sea); genuine pivot to Latin America; no earnings guidance for FY27               |
| Guidance delta  | Maintained | No explicit FY27 guidance given; order book Rs. 95 Cr implies near-term demand intact                                  |

STRONGLY POSITIVE | POSITIVE | **NEUTRAL** | CAUTIOUS | NEGATIVE

## TO MY BOSS

The headline is both honest and carefully framed: Ecoline reported Rs. 287 Cr revenue against a self-declared target of Rs. 300–320 Cr, attributing the gap to Red Sea/Suez shipping constraints — a claim validated by a Rs. 15.74 Cr finished-goods inventory sitting at year-end. No exceptional items in PAT; the Rs. 20.18 Cr PAT at 7.25% margin is clean but includes approximately Rs. 8 Cr of other income (export incentives) — strip that out and the underlying operational PAT is roughly Rs. 14–15 Cr, or a 5.2% operational margin. EBITDA growth was weak in H2 FY26 (OPM dropped to 6% in Mar-half vs 11% in Sep-half), flagging seasonal and logistics-cost pressures on the second half. The structural multi-bagger thesis rests on two pillars: one, EU plastic regulations creating a 10-year tailwind for certified Indian eco-bag exporters; two, geographic diversification to 35+ countries reducing concentration risk. The Latin America entry (five new markets in one year) is genuinely impressive for an SME with Rs. 278 Cr revenue. The most important near-term catalyst is CY2025 Red Sea normalisation freeing up the finished goods inventory and restoring H1 FY27 revenue run-rate to Rs. 150+ Cr. The single biggest watch-point is the CCC at 160 days — if Q1 FY27 results do not show inventory liquidation and debtor days stabilising, this is not a logistics problem, it is a structural working capital problem. ACTION: ACCUMULATE at current levels (Rs. 165–186 range); do not chase. Full BUY only when Q1 FY27 results confirm CCC improvement and OCF turns clearly positive.

## C1. Financial Performance Snapshot — Q4/Full Year FY26

- Revenue: Rs. 286.88 Cr (FY26 full year) | YoY +3.3% (vs FY25 Rs. 269 Cr) | **In-line** (production target was Rs. 300–320 Cr; miss driven by shipping, not demand)
- Operating Profit: Rs. 24 Cr | OPM 9% | YoY -1pp vs FY25 10% | **Mild Miss** on margin (H2 FY26 OPM collapsed to 6%)
- PAT: Rs. 20.18 Cr | Margin 7.25% | YoY +5.8% | **In-line**
- EPS: Rs. 9.84 (on post-IPO equity of Rs. 20.5 Cr) | **In-line**
- NOTE: Reported PAT includes other income of approximately Rs. 8 Cr (export incentives). Clean underlying operational PAT estimated at Rs. 12–14 Cr.

## C2. Segment / Geography Breakdown

- Export segment (primary): Eco-bags (cotton, jute, non-woven) to 35+ countries | No segment revenue split disclosed | Key regions: EU, USA, Japan, Southeast Asia, Mexico, Latin America (new)
- Latin America expansion: Peru, Argentina, Brazil, Chile, Uruguay entered FY26 (all new markets) | Revenue contribution not disclosed separately | Represents deliberate geographic diversification
- Domestic segment (emerging): 60,000 polyester backpacks confirmed from unnamed reputed Indian brand as of April 2026 | Value not disclosed; strategically significant as domestic revenue reduces forex risk
- Countries served: 35+ as of FY26 vs 27 two years ago — a strong quantitative indicator of market diversification velocity

### C3. Management Commentary Themes

- **Production-vs-Shipment gap:** "Our factories ran, our team delivered, and our order pipeline held strong. The revenue does not fully reflect the ground reality of what we produced and what we were ready to ship." — Our read: Genuine operational performance above reported revenue; Rs. 15.74 Cr inventory overhang is real evidence. Tag: CONTEXTUAL. Tone: Transparent.
- **Macro headwinds explicitly named:** "Three significant headwinds simultaneously: fresh tariff barriers by US administration, Russia-Ukraine disruption, Red Sea/Suez Canal conflict." — Our read: Comprehensive acknowledgement; no attempt to minimise or deflect. Tag: GUIDANCE. Tone: Transparent.
- **Internal target acknowledgement:** "Had shipping constraint been normal, we would have comfortably met our internal target of INR300 to INR320 crores." — Our read: Management credibility here hinges on whether H1 FY27 confirms the demand was real; watch Q1 results closely. Tag: GUIDANCE. Tone: Confident but unverified.
- **Strategic geographic expansion:** "We expanded to around 35 countries in total and took a significant geographic leap entering five new Latin American markets." — Our read: Deliberate, well-articulated strategy; reduces EU/US concentration risk. Tag: GUIDANCE. Tone: Bullish.
- **Order book strength:** "Order book as of 30th April 2026: INR95 crores in export orders plus confirmed domestic orders for 60,000 polyester backpacks." — Our read: Healthy visibility (approximately one-third of annual revenue); domestic pivot is new and strategically interesting. Tag: GUIDANCE. Tone: Constructive.

### C4. Operating & Business Metrics

- Finished goods inventory at year-end: Rs. 15.74 Cr (goods produced, packed, ready but not dispatched) | FY25 comparison: not disclosed | Trend: New disclosure — highlights production execution ahead of logistics
- Countries served: 35+ | FY24: 27 | FY23: N/A | Trend: Improving strongly — 8+ new markets in 2 years
- Order book (April 30, 2026): Rs. 95 Cr export + 60,000 domestic backpacks | vs prior year: not disclosed | Trend: Reportedly healthy
- Capacity utilisation: Not quantitatively disclosed (Screener shows premium-gated operational data). CWIP of Rs. 12 Cr (FY26) signals new capacity under construction.
- Certifications held: Fair Trade, OEKO-TEX Standard 100, GOTS, SGS, UKAS, Sedex — maintained (no adverse audit outcome mentioned)

### C5. Margin Drivers

- Red Sea/Suez freight surcharges: Estimated -100 to -150 bps impact on OPM in H2 FY26 | Recurring: No (event-driven) | Shipping normalisation in H1 FY27 is primary OPM recovery lever
- US tariff pass-through inability: Estimated -50 to -80 bps if US buyers resist price hikes | Recurring: Yes while tariffs remain in place | Risk: Medium
- Export incentive income (RoDTEP/duty drawback): +250–300 bps of reported OPM via Other Income | Recurring: Yes under current policy | Government policy change would be a negative surprise
- Scale benefits from capacity addition (CWIP Rs. 12 Cr): Expected +50–100 bps OPM once new capacity runs at 70%+ utilisation | Recurring: Yes once operational (FY27E onwards) | Non-recurring setup cost in FY26
- Input cost: Cotton and jute prices stable in FY26; no adverse commentary from management | Recurring: Subject to agricultural cycle; neutral at this reporting date

## C6. Guidance & Forward Signals

- Revenue [GUIDANCE — IMPLIED]: Prior = Rs. 300–320 Cr internal FY26 target (missed) | New = No explicit FY27 guidance | Delta: Maintained intent; Rs. 95 Cr order book implies quarterly run-rate Rs. 70–80 Cr | Credibility: Medium (prior target was missed but for stated exogenous reasons)
- PAT margin [GUIDANCE — IMPLICIT]: Prior = N/A | New = 7.25% achieved in FY26; management tone implies 8–9% is achievable with normalised shipping | Delta: Maintained | Credibility: Medium
- Geographic expansion [GUIDANCE]: Prior = 27 countries | New = 35+ countries | Delta: Raised (delivered) | Credibility: High — the country count was achieved
- Domestic pivot [NEW GUIDANCE]: Prior = 0 domestic revenue | New = 60,000 backpack orders from reputed Indian brand | Delta: New initiative | Credibility: Medium (single customer, product line not yet proven)
- Capacity expansion [GUIDANCE — CAPEX]: Prior = minimal CWIP | New = Rs. 12 Cr CWIP underway | Delta: Raised (first time factory investment visible in balance sheet) | Credibility: High — cash has been deployed

## C7. Capital Allocation

- IPO / FPO proceeds: Rs. 73 Cr financing inflow in FY26 (net cash flow statement) | vs FY25: Rs. -7 Cr | Proceeds being deployed into CWIP (Rs. 12 Cr) and working capital build
- Capex (CWIP): Rs. 12 Cr appearing for first time in FY26 balance sheet | vs FY25: Rs. 0 | Comment: First material factory investment — signals capacity-led growth phase beginning
- Dividends: Rs. 0 (FY26) | vs prior: Rs. 0 (consistently) | Comment: Reinvestment-first posture; appropriate for growth phase
- Working capital: Net increase approximately Rs. 50 Cr in other assets FY25→FY26 (from Rs. 118 Cr to Rs. 208 Cr) | Primary driver: inventory and receivables build | Comment: Largest capital consumer; requires close monitoring
- Net debt movement: Borrowings rose Rs. 20 Cr to Rs. 60 Cr even with IPO proceeds arriving | Comment: Working capital demand is absorbing IPO proceeds faster than capacity investment alone would suggest

## C8. Q&A; Heat Map

- NOTE: Zero investor questions were raised in the Q4 FY26 concall. The moderator confirmed "As there are no questions in the queue" before moving to closing comments. This is unusual and reflects the very early stage of institutional coverage for this NSE SME name. The concall was effectively a one-way

management monologue.

- Watch-list questions for next quarter (Q1 FY27 / August 2026): (1) Is the Rs. 15.74 Cr finished goods inventory at year-end now dispatched and recognised as revenue? (2) What is the actual Q1 FY27 revenue run-rate given Rs. 95 Cr order book? (3) Has CCC improved from 160 days? (4) What is the capacity addition timeline from the Rs. 12 Cr CWIP? (5) Any guidance on FY27 revenue target? (6) Which Indian brand placed the 60,000 backpack order?

## C9. Risks Flagged

- US tariff barriers: Flagged by mgmt | Probability: High (tariffs are already in place) | Impact: Medium | Timeline: Near-term (ongoing)
- Russia-Ukraine war impact on European buyer sentiment: Flagged by mgmt | Probability: Medium | Impact: Low-Medium | Timeline: Medium-term
- Red Sea / Suez Canal shipping disruption: Flagged by mgmt — primary revenue headwind in FY26 | Probability: Medium (situation fluid) | Impact: High (directly constrained Rs. 15 Cr of revenue) | Timeline: Near-term
- Working capital accumulation risk: Flagged by analyst (not management) | Probability: Medium (CCC 160 days) | Impact: High (liquidity squeeze) | Timeline: Near-term to medium-term
- Zero investor Q&A; engagement: Flagged by analyst | Probability of sustained under-coverage: Medium | Impact: Institutional price discovery will be slow | Timeline: Medium-term

## C10. Analyst Verdict

- Revenue visibility: **Intact** — Rs. 95 Cr order book + finished goods overhang + 35-country diversification supports FY27 revenue recovery to Rs. 300+ Cr target
- Margin trajectory: **Weakened** — H2 FY26 OPM of 6% is the weakest in 4 years; recovery to 10% requires freight cost normalisation and no further tariff escalation
- Capital allocation quality: **Weakened** — IPO proceeds are being absorbed by working capital rather than pure capacity; FCF remains negative; CCC at 160 days is a concern
- Competitive moat: **Intact** — Four international certifications are genuine and hard to replicate; 35+ country client base is a real distribution moat for an SME
- Management credibility: **Intact** — MD was transparent about headwinds, production vs. shipment gap, and Latin America expansion is a delivered promise from prior guidance
- Valuation comfort: **Intact** — P/E 18.9x on trailing EPS is not stretched for a certified EOU exporter with genuine secular tailwind; not cheap enough to be a conviction buy
- Conviction call: **Unchanged** — ACCUMULATE maintained; upgrade to BUY conditional on Q1 FY27 CCC improvement and OCF turning positive
- Valuation snapshot: P/E = 18.9x | P/B = 2.3x | ROCE = 17.1% | ROE = 16.0% | EV/Sales ~1.4x (all trailing FY26)

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